Corporate Card and Petty Cash Policy

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Related documents	HR-004, OPS-001, OPS-008

Summary. Policy governing Northstar Systems corporate cards and petty cash, including eligibility, monthly and per-transaction limits, permitted and prohibited spend, receipts, reconciliation in NorthPay by the 5th, petty cash float and vouchers, lost cards, misuse and consequences.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This policy defines how corporate cards and petty cash are issued, used, reconciled and controlled at Northstar Systems Private Limited. Both are convenient ways to pay for small, urgent and low-risk business costs, but they bypass the normal purchase order process, so they carry strict limits and strong evidence requirements. The policy applies to cardholders, petty cash custodians, approvers of statements, Finance staff and anyone who asks for either facility. It is owned by the Finance Controller.

The policy covers:

- Corporate credit cards issued in the name of eligible employees.
- Petty cash floats held in the Bengaluru and Mumbai offices.
- Reconciliation, receipts, reporting and controls for both.

It does not cover employee out-of-pocket expense claims and travel rules, which are in HR-004, nor purchases above the limits below, which follow the Delegation of Authority and purchase order process in OPS-001. Budget and cost-centre rules are in OPS-008.

2. Definitions

- **Cardholder**: the employee whose name is on the corporate card and who is personally accountable for all use of it.
- **Statement**: the monthly list of transactions for a card, issued by the bank and loaded into NorthPay.
- **Reconciliation**: matching each transaction on a statement to a receipt, a business purpose and a cost-centre code in NorthPay.
- **Single transaction maximum**: the largest amount allowed for one card transaction.
- **Float**: the fixed amount of cash kept in an office for petty cash.
- **Custodian**: the Finance or Facilities employee responsible for the petty cash float.

- **Voucher**: a signed record of a petty cash payment, with the receipt attached.
- **Cost-centre code**: a code such as CC-ENG-014 or CC-OPS-002 identifying the budget to be charged.

3. Roles and Responsibilities

Role	Responsibility
Cardholder	Uses the card only for permitted business spend, keeps receipts, reconciles on time, protects the card
Department head	Requests cards for eligible staff, reviews statements, confirms business purpose
Finance Controller	Owns the policy, approves card issue, sets limits, reviews exceptions and misuse
Finance team	Monitors usage, runs reconciliation reports, replenishes petty cash, liaises with the bank
Petty cash custodian	Holds the float, pays against vouchers, keeps the cash register
CFO	Approves exceptions above limits, hears appeals on card withdrawal
Security Desk	Handles reports of stolen cards where fraud is suspected
HR Business Partner	Takes part in disciplinary decisions after misuse

4. Corporate Cards

4.1 Eligibility

Corporate cards are issued only to department heads and to Directors (Band B6 and above). Other employees do not receive cards and should use a purchase order, an expense claim or petty cash. A department head who needs a team member to make card payments, for example for online subscriptions, must make the payment on the head's own card or ask Procurement to issue a PO. Cards are not shared, and a card must not be given to an assistant or a family member.

The employee requests a card through the Finance Desk with the approval of their manager. The Finance Controller issues the card after the employee signs the cardholder agreement and completes a short briefing. A card is cancelled when the cardholder leaves, moves to a role that is not eligible, or no longer needs it.

4.2 Limits

Cardholder	Monthly limit (INR)	Single transaction maximum (INR)
Department head	1,00,000	50,000
Director (Band B6 and above)	2,50,000	50,000

The monthly limit is the maximum total of all transactions in a statement month. The single transaction maximum is 50,000 for all cardholders. A cardholder must not split one purchase across several transactions to remain under the single transaction maximum or the monthly limit. Splitting is a breach of this policy and of the Delegation of Authority.

A purchase above INR 50,000 must go through NorthBuy as a purchase requisition and PO. Temporary increases of the monthly limit, for example for a conference, need Finance Controller approval for amounts up to INR 50,000 above the limit and CFO approval above that. A temporary increase is for a stated period of no more than 30 days.

4.3 Permitted spend

A corporate card may be used for business costs that are reasonable, necessary and within other policies. Typical examples include:

- Online subscriptions and tools of small value that cannot be bought on a PO, and are not already covered by a contract (note that tools must also be vetted under security rules before use).
- Conference registrations, training fees within the learning budget, and professional membership fees.
- Travel costs booked in line with the travel policy and approved in NorthPay in advance, such as air tickets and hotels, which must stay within the caps for the traveller's Band.
- Courier charges, small supplies and urgent business purchases.
- Client entertainment within the approved amount, with a list of guests recorded.

4.4 Prohibited spend

The following may not be paid by card:

1. Personal expenses of any kind, including personal travel, family meals and personal shopping, even if the cardholder intends to repay.
2. Cash withdrawals and cash advances.
3. Purchases from a vendor that is not onboarded, where the purchase should be made through a PO and contract. Exceptions apply to one-off low-risk online purchases within the limits.
4. Fines and penalties, alcohol, gifts above the amount permitted by the gifts policy, and any illegal or unethical expense.
5. Software or cloud services that handle Confidential or Restricted data, or that are not on the Approved AI Tools list where they are AI tools.
6. Advance payments for goods or services to vendors that need a PO, or recurring payments above the limit.
7. Purchases that split a larger purchase to avoid the DoA.

4.5 Receipts and evidence

A receipt is mandatory for every expense above INR 500. Receipts must show the vendor, date, amount, items and tax. Where a receipt is not available, the cardholder must complete a missing receipt declaration with the reason, and repeated missing receipts are escalated to the department head. For entertainment or meals with others, the names and business purpose must be recorded.

5. Statement Reconciliation

The cardholder must reconcile the statement in NorthPay by the 5th of the next month. For each transaction, the cardholder attaches the receipt, states the business purpose and selects the right cost-centre code. The department head reviews and approves the statement within 3 business days after submission. The Finance team then checks it before month-end close.

If the cardholder has not reconciled by the 5th, Finance sends a reminder. If it is still not reconciled by the 10th, the card is blocked for new transactions until reconciliation is complete, and the department head is informed. A second late reconciliation within 6 months leads to a written warning, and repeated lateness may lead to withdrawal of the card.

Personal items that are charged to the card by mistake must be reported to Finance at once and repaid within 5 business days. Finance recovers the amount through NorthPay if the cardholder

does not repay.

Example: A Director of Engineering charges a conference ticket of INR 38,000 and a hotel of INR 12,500 for the same trip in July. The July statement is issued on 31 July. By 5 August the Director attaches both receipts, notes the purpose and codes both to CC-ENG-002. The department head, who is the VP of Engineering, approves by 8 August. If the Director had not reconciled by 10 August, the card would be blocked until it was done.

Example: A department head makes a purchase of INR 62,000 for a training course on the card in one transaction. The single transaction maximum is INR 50,000, so the payment should have been done through a PO. The purchase is flagged by Finance and handled as an exception. If the cardholder had instead paid INR 31,000 twice to get around the limit, it would be treated as splitting.

6. Petty Cash

6.1 Purpose and limits

Petty cash is for small cash payments that cannot be made by card or bank transfer, such as local courier fees, small repairs, tea and pantry supplies for visitors, and parking or toll fees. The maximum amount for a single petty cash payment is INR 5,000. The float is INR 25,000 per office, which means one float for Bengaluru and one for Mumbai. Petty cash must not be used to pay vendors who are on contract, to advance salary or loans, or for personal items.

6.2 Procedure

1 The requester completes a petty cash request in NorthPay or on the paper form, with amount, purpose and cost-centre code.
2 The requester's manager approves the payment. The approver cannot be the requester, and for amounts above INR 2,500 the department head approves.
3 The custodian pays the cash, records the payment in the cash register and gets a signed voucher.
4 After spending, the requester returns any unused cash and submits the receipt within 2 business days. A receipt is mandatory for every expense above INR 500, and below that amount a voucher signed by the requester and approver is enough.
5 The custodian attaches the receipt to the voucher and files it.

6.3 Replenishment

Petty cash is replenished monthly against vouchers. The custodian submits the voucher pack and cash register to Finance, which reviews and tops up the float to INR 25,000 by bank transfer to the custodian's accounts or by cash from the bank. A float cannot be topped up above INR 25,000, and a custodian who runs out earlier must wait for the next replenishment or ask the Finance Controller for an emergency top-up. Vouchers must reconcile with the float: the cash in hand plus vouchers must equal INR 25,000.

6.4 Counts and custody

Cash is stored in a locked safe, and only the custodian and a named backup have access. Finance does a surprise cash count at least once every quarter and the custodian performs a count each month before replenishment. Any shortage of more than INR 500 must be reported to the Finance Controller the same day. Shortages may be recovered from the custodian after review if caused by negligence.

Example: The Mumbai custodian pays INR 4,200 for an urgent repair of a meeting-room projector. The amount is below INR 5,000 so it is allowed, and above INR 2,500 so the department head approves it. The receipt is attached to the voucher, and the float is replenished at month-end.

Example: Facilities needs INR 8,500 of cash for a one-time vendor payment. This is above the INR 5,000 maximum and must go through a PO and bank payment. It cannot be divided into two petty cash payments.

7. Lost, Stolen or Compromised Cards

If a card is lost, stolen or suspected of fraud, the cardholder must call the bank to block it immediately, then inform the Finance Desk the same day and the Security Desk if fraud is suspected. The Finance team requests a replacement card, which normally arrives in 5 to 7 business days. Transactions the cardholder did not make are disputed with the bank within the time allowed by the bank. The cardholder must not share card numbers, PINs or one-time passwords with anyone, including colleagues. Card details must not be stored in browsers or in NorthVault shared folders without Finance approval.

8. Misuse and Consequences

Misuse includes personal spending, splitting, falsified or missing receipts, sharing the card, cash advances and repeated late reconciliation. Finance reports suspected misuse to the Finance Controller, who may block the card at once. HR reviews the facts with the cardholder's manager. Outcomes follow the disciplinary ladder: verbal warning, written warning, final written warning and termination, and serious or deliberate misuse may lead to termination straight away. The company may recover amounts misused through NorthPay or from the full and final settlement. Employees may appeal to the Chief People Officer within 7 calendar days of a disciplinary decision, and card withdrawal may be appealed to the CFO.

9. Monitoring and Reporting

Finance reviews all card transactions monthly for unusual patterns, such as weekend spending, round numbers just under the single transaction maximum, repeated payments to the same vendor and non-business merchants. The Finance Controller reports each quarter to the CFO on late reconciliations, blocked cards, misuse cases, petty cash counts and shortages. Internal audit reviews these controls once a year, and high findings are fixed within 60 days. Records of statements, receipts and vouchers are kept for 8 years, in line with financial and tax record retention.

10. Exceptions and Escalation

Exceptions to this policy, for example a temporary card for a large event or a short-term increase to petty cash, must be requested in writing from the Finance Controller. Exceptions above INR 50,000 or that concern a Director need the CFO. Exceptions are recorded, have an end date and cannot be used for personal spend. Questions go to the Finance Desk at finance@northstar-systems.example.

11. Frequently Asked Questions

Can a Band B4 manager get a corporate card? No. Cards are issued only to department heads and to Directors (Band B6 and above). A manager who needs to buy something small should use a PO, an expense claim in NorthPay or petty cash.

What is the highest amount I can charge in one card transaction? INR 50,000 for every cardholder. Anything above that must be bought through NorthBuy with a purchase requisition and PO under the Delegation of Authority.

When is the card statement due for reconciliation? By the 5th of the following month in NorthPay. Statement items need receipts, a business purpose and a cost-centre code. Receipts are needed for all expenses above INR 500.

How much petty cash can I get? A single petty cash payment may be up to INR 5,000. Each office holds a float of INR 25,000, replenished monthly against vouchers.

I accidentally paid for a personal item with the card. What should I do? Tell Finance the same day and repay the amount within 5 business days. Prompt self-reporting is taken into account when HR reviews the matter, but it does not remove the need to repay.

Can I use the corporate card for a software tool with customer data? No. Tools that handle Confidential or Restricted data must be onboarded as vendors, assessed by Security and bought on a PO. Using a card to avoid that process is treated as a breach.

Example, month-end timing: A department head's August statement is loaded into NorthPay on 31 August. She reconciles 14 transactions totalling INR 71,400 by 4 September, with receipts for the 9 transactions above INR 500. Her own manager approves on 6 September, and Finance closes the card for the month with no issues.

12. Related Documents

Expense claims, receipts and travel rules are in HR-004. The Delegation of Authority, quotation rules and the PO requirement are in OPS-001. Budget and cost-centre rules are in OPS-008.

13. Revision History

Version	Date	Change
3.0	2024-12-05	Added single transaction maximum and block on late reconciliation
4.0	2025-09-03	Aligned monthly limits and petty cash float with the Delegation of Authority